

25CHCV02722 25CHCV02722

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Dept. F47

Date: 9/24/26

TRIAL DATE: 4/3/28

Case #25CHCV02722

MINOR'S

COMPROMISE WITH SPECIAL NEEDS TRUST

Luca

Sirico by and through his Guardian Ad Litem Nicole Sirico et al. v. Henry Mayo

Newhall Memorial Hospital et al

Case No. 25CHCV02722

Tentative

Ruling

The hearing on Petitioner Nicole

Sirico's Petition For Approval of Compromise of Claim or Action or Disposition

of Proceeds of Judgment For Minor or Person With a Disability filed on August

25, 2026 will be CONTINUED TO _____ at _____. Counsel for

Petitioner is directed to file and serve supplemental documentation addressing

the issues flagged herein by no later than sixteen court days prior to the

continued hearing date.

I. Background

Claimant

Luca Sirico ("Sirico" or "Claimant") is a disabled minor (DOB: 8/27/2024) who brings this action, by and through his Guardian Ad Liem and co-plaintiff, Nicole Sirico ("Plaintiff" or "Petitioner").

This

action arises out of the care and treatment received by Plaintiff Nicole Sirico/Petitioner and Plaintiff Luca Sirico/Claimant (collectively, Plaintiffs) during the labor, delivery and birth of Claimant at Defendant Henry Mayo Newhall Memorial Hospital (Henry Mayo) on or around 8/27/24.

Plaintiffs

allege that the Defendant Jerry Izu, M.D. (Dr. Izu) failed to timely address signs of fetal distress during the labor and delivery of Claimant. Plaintiffs contend that due to delayed and improper treatment during labor and delivery, Claimant was deprived of oxygen, suffered head compression during delivery, and suffered severe and permanent injuries, including but not limited to, brain damage, and will need significant skilled care for the rest of his life.

Pending

before the Court is Petitioner's petition for approval of a compromise of a pending action of a minor with a disability.

II. Legal Standard

"A petition for court approval of a compromise of, or a covenant not to sue or enforce judgment on, a minor's disputed claim; a compromise or settlement of a pending action or proceeding to which a minor or person with a disability is a party; or the disposition of the proceeds of a judgment for a minor or person with a disability under Probate Code sections 3500 and 3600-3613 or Code of Civil Procedure section 372 must be verified by the Petitioner and must contain a full disclosure of all information that has any bearing upon the reasonableness of the compromise, covenant, settlement, or disposition. Except as provided in rule 7.950.5, the petition must be submitted on a completed Petition for Approval of Compromise of Claim or Action or Disposition of Proceeds of Judgment for Minor or Person With a Disability (form MC-350)." (Cal. Rules of Court, rule 7.950).

"The person petitioning for approval of the compromise of

the claim on behalf of the minor or person with a disability and the minor or person with a disability must attend the hearing on the petition unless the court for good cause dispenses with their personal appearance." (Cal. Rules of Court, rule 7.952(a)).

III. Discussion

Petitioner Nicole Sirico, in her capacity as guardian ad litem for Luca Sirico, seeks Court approval of a settlement between Claimant Luca Sirico, on the one hand, and Jerry Izu, M.D. ("Defendant"), on the other hand, in the amount of \$700,000. (Petition, ¶¶ 2 and 10 and 16a.)

A.

The
Special Needs Trust

At the outset, the Probate Department has separately reviewed the Luca Sirico Special Needs Trust ("SNT") under Los Angeles Superior Court Local Rule 4.116 and California Rules of Court Rule 7.903. The Probate Department notes the following:

1. The Proposed Trust Instrument

Petitioner provides the proposed trust instrument at Attachment 18(b)(4), Court's pdf at pp. 46-57. The proposed Trust meets the requirements of Los Angeles Superior Court Local Rule 4.116 and California Rules of Court Rule 7.903 and can be approved and funded subject to the approval of the underlying Settlement.

The Court also notes that the proposed Order submitted on June 26, 2026 does not include a copy of the SNT and needs to be corrected

2. Additional Requests for Relief

(a) Petitioner requests authority for the trustee to invest in proprietary funds, mutual funds, and bonds with maturity dates greater than five years to provide for diversification of investments.

(Attachment 18(b)(4).) This request would provide for a broader investment authority than the statutory baseline and is common when the trust assets will be large and the investment horizon is long (i.e., when the plaintiff is fairly young). This court finds that the request is reasonable in light of the amount of the funds to be received, the age of the beneficiary, estimated life span of the beneficiary, and ability to better diversify with an expected higher total return and therefore approves this request

(b)

Petitioner requests authority for the trustee to receive periodic payments of compensation on account in accordance with its published fee schedule then in effect at the time the services are rendered. (Attachment 18(b)(4).) These requests are common when trustee will be a corporate fiduciary and trust funding is large. The fees would be adjusted if necessary during the annual or biannual accountings in the Probate court. This court finds that the request is reasonable.

(c) Petitioner requests authority to pay trust

specialist counsel, Randolph Sharon, Esq., the sum of Five Thousand Dollars (\$5,000.00) for tasks related to the minor's settlement trust including drafting the trust instrument and related portions of the Petition (Petition, ¶ 13.b., Court's pdf at p. 5). The court finds that the request is reasonable and within the range normally requested for trust counsel.

(d)

Petitioner requests authority for trustee to pay Petitioner \$25 per hour, increasing at 3% each year, up to 40 hours per week as trust beneficiary/Plaintiff's primary caregiver. Trustee would engage a third party to employ Petitioner which would add expenses for payroll taxes, insurance, and administrative fees. (Attachment 18(b)(4).) The court finds that the request is reasonable as the beneficiary is 2 years of age and Petitioner is the beneficiary's parent and primary caregiver and the trust funding is significant.

3. Notice

When seeking approval

to fund a special needs trust (SNT), notice of the hearing and service of the petition must be made upon three state agencies including the Dept. of Mental Health, Dept. of Developmental Services, and Dept. of Health Care Services. (Probate Code section 3611(c), or 3602(f) if

there is a conservatorship of the estate or guardianship of the estate for plaintiff.) The proof of service filed on August 25, 2026, demonstrated service was completed.

4. Findings

When ultimately approving the establishing or funding of an SNT from settlement proceeds, the Court must make the following findings pursuant to Probate Code section 3604(b): (1) the SNT beneficiary has a disability which substantially impairs the individual's ability to provide for his/her own care or custody and constitutes a substantial handicap; (2) the SNT beneficiary is likely to have special needs that will not be met without the trust; and (3) the money to be paid to the trust does not exceed the amount that appears reasonably necessary to meet the SNT beneficiary's special needs.

At this time, the Court has sufficient information to find: (1) the SNT beneficiary has a disability which substantially impairs his ability to provide for his own care or custody and constitutes a substantial handicap; specifically, that the SNT beneficiary is diagnosed with hypoxic ischemic encephalopathy, severe brain damage, and cerebral palsy.

The Court, further, has sufficient information to find: (2) the SNT beneficiary is likely to have special needs that will not be met without the Trust; specifically, receipt by the Beneficiary of a significant amount of money from the settlement will have an impact on the Beneficiary's eligibility for certain needs-based benefits.

The Court, however, has insufficient information to find: (3) the money to be paid to the trust does not exceed the amount that appears reasonably necessary to meet the SNT beneficiary's special needs; specifically, there is no information presented regarding what services or needs the SNT will cover and the anticipated costs of such services, equipment, therapies, etc.

5. Trustee and Bond

The proposed initial

trustee is Wells Fargo Bank. N.A.

Normally, bond must be required of a trustee unless the trustee is a corporate fiduciary/trust company. (California Rules of Court, Rule 7.903(c)(5), Probate Code sections 2320, 15602.) The proposed trustee meets that requirement and therefore bond is not required at this time.

B.

The
Compromise

The
Court has reviewed the petition filed August 25, 2026 and finds the following defects:

(1) No. 11.b.(2) indicates that
Petitioner has a claim against the recovery of the claimant. However, there is no Attachment 11b(2) to the
Petition to explain the circumstances and the effect of Petitioner's claim on
the compromise of the claim as required.

(2) No. 11.b.(3) indicates that
Petitioner is a plaintiff in the same action which requires an explanation in
Attachment 11b(3) of the circumstances and the effect of Petitioner's claim and
its disposition on the proposed compromise.
There is no Attachment 11b(3).

(3) No.13.b. indicates that
Plaintiffs' counsel seeks payment of \$25,000.00 for advancement of future
litigation costs against non-settling defendants. (See Attachment 13A – Teixeira Decl.
¶8 (pdf 20-21). However, the Attorney-Client
Contingency Fee Contract provides, in relevant part, that "SLG will only be
compensated for legal services rendered if a recovery is obtained for Client. If
no recovery is obtained, Client will not be obligated to pay any attorneys'
fees or costs to SLG." (bold in original) (See Attachment 17a, p.1
¶3 (pdf 37)). The Court finds that the payment
of future litigation costs incurred against non-settling defendants from the settlement
of a settling defendant was not contemplated by the retainer agreement. The Court finds that a reasonable
interpretation of the retainer agreement is that if there is no recovery
against the remaining non-settling defendants, SLG agreed to absorb those

costs. As such, the request for an advancement of \$25,000.00 in litigation costs is denied and such amount should be added to the amount to be paid to Claimant/deposited into the proposed SNT.

(4) No.17.e. incorrectly indicates that the attorney is not representing any other party when the attorney also represents Petitioner as indicated in No.17.f.

Petitioner explains that, after payment of medical expenses, attorney's fees and costs from the proceeds of the settlement, there is a balance of \$419,973.84 which will be initially funded into the Special Needs Trust. (Petition, ¶ 18(b)(4)). However, as noted above, the Court finds that the additional \$25,000.00 for the advancement of future litigation costs should be included in the balance.

IV. Conclusion

The hearing will be continued to allow Petitioner to cure the defects noted above.

Specifically, Petitioner must:

(1) Provide sufficient information for the Court to determine whether or not the money to be paid to the Special Need Trust exceeds the amount that appears reasonably necessary to meet the SNT beneficiary's special needs. Petitioner must provide information regarding what services or needs the SNT will cover and the anticipated costs of such services, equipment, therapies, etc.

(2) Provide Attachment 11b(2) to the Petition.

(3) Provide Attachment 11b(3) to the Petition.

(4) Eliminate the request for payment of \$25,000.00 to Plaintiffs' attorneys for an advancement on future litigation costs and add such amount to the sum which will fund the SNT.

(5) Correct No.17.e. to indicate that the attorney is also representing Petitioner and provide Attachment

17e.

(6) A

separate copy of the Special Needs Trust must be attached to the proposed Order
(in addition to the terms of the trust being set forth in the order).

Amended/supplemental papers must be filed and served
at least 16 court days before the continued hearing date.